

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
September 2025	PLANNING	Audit Program Risk Alignment	CA&AS Ops	Changes to audit risk levels from recent revalidation
February 2025	PLANNING: Reference Material		Nicolas Garcia Paura	Link update
May 2024	Planning: Reference Material	All	Nicolas Garcia Paura	List of global desk procedures removed. The procedures for the Cost Accounting processes are documented in detailed Global CDPs (Common Desk Procedures).
May 2024	Links in document reviewed and updated	All	Nicolas Garcia Paura	All links within the document were reviewed and revalidated.
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

Table of Contents

PLANNING: Reference Material	1
PROCESS AND OBJECTIVE	3
PLANNING: Audit Program Risk Alignment.....	4
PLANNING: Data Analysis.....	5
PLANNING: Reference Material	7
PLANNING: Fraud Template.....	9
CONTROL ASSESSMENT QUESTIONS	11
Key Control Question: 1. Product Costing	11
Primary Test: Product Costing (PC001.P)	12
Key Control Question: 2. Inventory Verification and Reconciliation	13
Primary Test: Inventory Verification and Reconciliations (IV001.P)	14
Key Control Question: 3. Inventory Reserve.....	16
Primary Test: Inventory Reserve (IR001.P)	17
Key Control Question: 4. Manufacturing Value Add/Overhead Distribution	18
Primary Test: Manufacturing Value Add/Overhead Distribution (MV001.P)	19
Key Control Question: 5. Measurements.....	20
Primary Test: Measurements (MS001.P)	21
Key Control Question: 6. Separation of Duties (SOD) and Excessive Authority.....	22
Primary Test: Separation of Duties and Excessive Authority (SO001.P)	23
Key Control Question: 7. Variance Distribution.....	24
Primary Test: Variance Distribution (VD001.P)	25

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

PROCESS AND OBJECTIVE

Definition:

For the purpose of this internal audit program, cost accounting and inventory valuation is defined as the process for capturing the elements of cost (direct labor, burden and, materials) applicable to a product, building up the total cost for the product, and valuing inventory at that cost. The costs are used to value the ledger entries reflecting movements in the logistics systems. The costing process also provides management reporting for product cost and inventory valuation versus predefined plans and targets.

Objective:

To ensure that all valid elements of cost are collected and fully applied, consistently and reasonably, to individual products with the results accurately reported.

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

PLANNING: Audit Program Risk Alignment

Cost Accounting

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Product Standard Costing	High	Product Costing	PC001.P
Inventory Verification and Reconciliation	High	Inventory Verification and Reconciliation	IV001.P
Manufacturing Value Add / Overhead Distribution	High	Manufacturing Value Add/Overhead Distribution	MV001.P
Inventory Reserves	Medium	Inventory Reserve	IR001.P
Separation of Duties	Low	Separation of Duties (SOD) and Excessive Authority	SO001.P
Internal Measurement Reporting	Low	Measurements	MS001.P
Data Protection / Access	Low	Data Privacy (Key Control Question 4, Data Integrity - IT Enterprise Applications Program 43-10-00)	DI004.P

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Reconciliations (Cost system to ledger)	Review the reconciliation on a month-to-month comparison for: • Approvals • Timeliness • Valid resolution of open items • Aging of variance items • Supporting documentation (goods received/ invoice received (GR/IR) and shipped not billed / billed not shipped (SNB/BNS) reports, physical inventory counts match ledger)	• Invalid/incomplete supporting documentation • Incorrect/No Approvals • Resolution of open items inconsistent from month-to-month • Items are not being aged appropriately on a month-to-month basis • Documentation differs for the same reconciliations month-to-month	• Lack of control of assets • Possible theft • Manipulation of metric results

COST ACCOUNTING AUDIT PROGRAM #10-50-00

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Manual or System Journal Made (Inventory adjustments, manual entries to adjust cost to revenue, entries made to variance accounts, write-offs)	• Ensure adjustments to inventory have valid business justifications • Perform analysis on the timing of the entries in regard to the annual physical inventory (API) or rotating inventory audits (RIA) or month/quarter end • Review that the adjustments resulting from the physical inventory • Did excessive write-offs occur after rotating inventory counts (RIC) and rotating inventory audits (RIA) • Review all clip levels and necessary approvals needed	• Entries do not have valid business justification • Adjustments resulting from the physical inventory where incomplete, not approved, or lacked valid business justification • Entries for write offs were unreasonable • Necessary approvals did not exist • Multiple adjustments made just below clip level in the same periods to adjust the same accounts • Reoccurring adjustments for same part number	• Misstatement of the asset on the balance sheet and cost or expense on the income statement • Possible theft • Lack of control of assets

The following information is the type that would be beneficial for using queries during this audit:

- Compare actual shipments and the original bill of materials using queries from the logistic system.
- List of high dollar parts (volume x unit cost) in descending order by value and another list in part number sequence.
- If an annual inventory is taken, access to the annual physical inventory files, if possible.
- If Rotating Inventory Audits (RIAs) are taken, a list of part number quantity exceptions between the system and actual.

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

PLANNING: Reference Material

The Worldwide Cost Accounting w3Publisher page includes the following instructions, practices, desk procedures and specific information related to cost accounting:

<https://w3.ibm.com/w3publisher/ibm-accounting-inventory-cost>

[Accounting Policy & Financial Reporting - Accounting Instructions \(ibm.com\)](#)

Cost Accounting Instructions

- INVCA-001 Guidance on Standard Costing and Cost Variance
- INVCA-002 WW BOP Accounting Instruction
- INVCA 13-001 Accounting for Freight / Duty / Brokerage
- INVCA 13-002 Movement and Valuation of Used Parts Returned for Salvaging and/or Repair
- IBM10-003 Accounting for Hardware Circular Sales
- IBM02-002 Accounting Treatment of Mechanical Replacements
- Accounting for Demonstration, Loaner and Trial Equipment (part of AI PPE 001 2023_2)
- IBM00-005 Rotating Inventory Audits of Inventories Conducted by Finance
- IBM99-001 Accounting for Plant Inventory Reserves

Finance Corporate Instructions

- FIN 182 Management Self-Assessment of Control Appendix C - Separation of Duties:
[IBM Corporate Documents | Corporate Instruction FIN 182](#)

Accounting Practices

- AP INV - Inventory, Allowance for Inventory, and Valuation at Lower of Cost and Net Realizable Value
The purpose of this practice is to prescribe the requirements for valuing IBM inventories at the lower of cost and net realizable value. The intent of this rule is to provide a means of measuring the present value of inventory when there has been a decline in value below its original cost. Any difference is to be recognized as an inventory loss in the current accounting period.
- AP INV - Cost Inventorying Cost for New Technology Product and System Brands
This section of the practice prescribes the accounting requirements for costs incurred to introduce new technology products into manufacturing. It is the intent of this practice to specify the circumstances under which these costs may be accumulated as customer shippable inventory or charged to Product Development expense. This practice is applicable to all IBM owned technology products that are required to pass a T2 qualification test.
- AP INV - VER Inventory Verification
The intent of this practice is to prescribe an accounting and control process for the validation of the physical inventory assets of the corporation. All inventories representing general ledger account balances are to be physically verified annually either by total physical counts or by sampling techniques in a cost-effective manner.
- AP INV - CON Consignment Inventory Accounting and Control
The intent of this practice is to prescribe an accounting and control framework for IBM-owned inventory located at other companies and/or vendors. In these instances, procedures must be implemented which ensure proper balance sheet representation and effective asset controls commensurate with the value of the inventory.

COST ACCOUNTING AUDIT PROGRAM #10-50-00

PLANNING: Reference Material (Continued)

The attached file includes a list of basic inventory reports that can be ran for each site. The file also contains a list of cost update reports. The purpose of this file is to work with the client to determine which reports are relevant and then to work with the Audit IT team to have them ran.

Updated excel file attached in program.

See Inventory Reports and Cost Update Reports 2025.xls attachment



Inventory Reports
and Cost Update Rep

COST ACCOUNTING AUDIT PROGRAM #10-50-00

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Authorization, Recording, Custody, and Reconciliation Roles	Separation of Duties Assessment	Review SOD Assessment to validate: • The end-to-end process is reviewed annually by management. • Assessments are kept current and are updated when organization, staffing assignments, process or system changes occur that significantly impact the SOD assessment. • The approach to separating duties, whether by process design, system controls, organizational structure, or other means is established and maintained on an on-going basis. • Identified conflicts are assessed for SOD risk and mitigating controls are implemented effectively to separate conflicting tasks.
Falsifying Financial Statements	Detailed review of financial metrics with linkage between underlying cause and effect Key Controls Over Financial Reporting	• Review financial metrics for anomalies. • Select a sample of journal entries and contracts to ensure the ledger should be adjusted to represent the reconciled value of physical goods on hand at the correct cost based on consistent application of costing methodology. • Select a sample of key accounts and review the reconciliations and their content, backup, and necessary approvals.

**COST ACCOUNTING
AUDIT PROGRAM #10-50-00**

PLANNING: Fraud Template (Continued)

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	• Testing Approach
Theft of Inventory	Physical inventories and rotating inventory counts	• Physical inventories and rotating inventory accounts are performed and are accurate • Inventory is valued properly • Write-offs and shrinkage have the appropriate level of reviews and approvals

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Product Costing

Objective:

Are all elements of cost (e.g., materials, value add, process scrap) included in the cost system input, and are costs being reflected accurately and timely in the current period product cost? Are exceptions, variances, and system input errors properly controlled and resolved with management visibility?

Risk/Exposure:

Elements of cost are accumulated in the ledger and are input periodically to the cost system for current period costing. Transactions being passed must include all elements of cost required for the costing process, are not to be duplicated and, if rejected by the cost system, the rejected transactions must be resolved and re-input to the system. Lack of controls to ensure all transactions are received in the cost system could lead to inaccurate product costs and inventory values and mislead management in making cost control decisions.

The cost system normally has the capability of ensuring the transaction is valid (that is, good part number, purchase cost within parameters, etc.). Any exception not clearing the systems' audits should be resolved on a timely basis to prevent large fluctuations of product cost, inaccurate costs and inventory values, and misleading cost information.

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Product Costing

Primary Test: Product Costing (PC001.P)

Objective:

To ensure the inventory values are consistent with the costing methodology and all elements of cost (e.g., materials, value add, process scrap) are included in the cost system input. To ensure that all products have been assigned a unit cost and that products without costs are investigated and adjusted in a timely manner. To determine if costs are updated in the current period and to ensure exceptions, variances, and system input errors are controlled and resolved with management visibility.

Approach:

Test the fundamental costing technique by selecting samples of shipped product included in the intercompany cost account (major 54X).

Review the costing methodology used for Cost of Material (COM), Manufacturing Value Add (MVA) and Cost Variance (CV) if the basis is appropriate, adequate, consistently applied, and in accordance with IBM standards. Additionally, assess the adequacy of management system to review and reconcile cost variances and resolution of identified issues.

Assess the adequacy and timeliness of product revaluation, and if update methodology was consistently applied.

Review the cost construction of the output by decomposing the various elements and tracing their values to upstream sources. In conjunction with the testing of bill of material (BOM) values, the overhead application rate should also be reviewed.

Review a sample of inter-company shipments to ensure all elements of valuation are properly stated on commercial invoice. The valuation support would include the cost of materials (COM), Cost Variance (CV), Manufacturing Value Add (MVA) rates, and any additional uplift adders. If appropriate, determine required elements based on the importing country. Was the correct inter-company price uplift applied?

Verify that all part numbers have been assigned a unit cost. If there are part numbers without a cost, understand the reasons and actions taken to resolve exceptions.

Ensure that all exception transaction reports are reviewed and approved by management. Test a sample of the high value exception transactions.

Review forced closure of exceptions to ensure proper disposition. Ensure the ability to change costs within the system is adequately restricted. Test a sample to ensure the adjustments are valid and properly disposition.

Compare part numbers' bills of materials released by engineering and loaded in the logistic and / or cost system with physical parts and features used during the production cycle to ensure that product cost is accurate. Test that the final BOM is an aggregation of components at standard values.

Verify that SAP tables related to pre-loaded software on hardware (countries, percentage and Machine type) were updated per the ICO guidance published. Test a sample of preloaded SW MTMs to ensure table is updated per the ICO guidelines.

Import Compliance Office: Software on Hardware Valuation

[IBM Import Regulation Office - Software on Hardware valuation](#)

COST ACCOUNTING AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Inventory Verification and Reconciliation

Objective:

To perform inventory verification process in order to validate quantities on logistics system are accurate.
To validate that reconciliations were performed between logistics system and ledger.

Risk/Exposure:

The ledger should be adjusted to represent the reconciled value of physical goods on hand at the correct cost based on consistent application of costing methodology. Variations from this process will result in the misstatement of the asset on the balance sheet and cost or expense on the income statement.

Controls must exist to ensure inventory values are accurately relieved from the ledger as completed products are moved, claimed, or shipped. Lack on controls could lead to creation of inventory variances and misstatement of financial statements.

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Inventory Verification and Reconciliation

Primary Test: Inventory Verification and Reconciliations (IV001.P)

Objective:

To perform inventory verification process in order to validate quantities on logistics system are accurate.

To validate that reconciliations were performed between logistics system and ledger.

Approach:

Inventory Verification

Review the adequacy of the inventory verification methodology. Determine whether there is an annual physical inventory count taken and reconciled to the ledger accounts or whether the validation consists of multiple counts throughout the year. Assess if variances were identified and root causes were analyzed with appropriate management action plan.

Review the last annual inventory reconciliation. Ensure that 100% of the parts and machines were either counted or certified by RIA counts on a periodic basis for consignment vendors.

Review whether the annual plan for periodic verification was documented and approved, and the required percentage coverage was achieved for all major areas of parts, work-in-process, consigned, and finished goods inventories.

Determine if the inventory taking method used was consistent with corporate and local guidelines.

Review whether the quantities in the logistics and cost systems were reset to the quantities counted during the inventory.

Review that the adjustments resulting from the physical inventory were adequately documented, accurately costed, properly approved, and processed on a timely basis.

Review the total inventory variances from RIAs and annual physical inventories for the year. Determine if they were reasonable based on the total average inventory and were actions plans put in place where excessive write-offs occurred.

Inventory Reconciliation

Review reconciliations for approvals, timeliness, and valid resolution of open items. The goods received/invoice received (GR/IR) and shipped not billed / billed not shipped (SNB/BNS) reports should be included in their associated account reconciliations.

Test the process of validation of logistics transactions to the cost system. Determine if there is a sample or complete reconciliation of part number and quantities in the cost/logistics systems or the cost/floor control systems.

Review reconciliations of the cost system to the ledger. Ensure they are approved, timely and that variances are reasonable, explainable and resolved in a timely manner.

Review reconciliations of the in-transit accounts or GR/IR reports and test to ensure that aged items are being reported and resolved timely. Determine whether there are significant aged items not resolved.

COST ACCOUNTING AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Inventory Verification and Reconciliation

Primary Test: Inventory Verification and Reconciliations (IV001.P)

(Continued)

Review suspense and in-transit accounts within the cost system or logistics systems to ensure adjustments to inventory are valid, approved and investigated.

Review the end of quarter shipping information and supporting reports to validate that at the end of the period there are no goods kept on hold.

Review any product shipped for which cost or revenue has not been booked in the ledger. Verify that manual entries to adjust cost to revenue matching discrepancies are accurate and adequately approved.

COST ACCOUNTING AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Inventory Reserve

Objective:

To ensure and validate inventory reserves are appropriately valued, recorded, and reconciled.

Risk/Exposure:

Inventory reserves are established to assure the proper valuation of inventory balance sheet assets when various risk factors are taken into consideration. Changes in reserve levels or inaccurate valuation of reserves will impact the I/E.

COST ACCOUNTING AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Inventory Reserve

Primary Test: Inventory Reserve (IR001.P)

Objective:

To ensure and validate inventory reserves are appropriately valued, recorded, and reconciled.

Approach:

Verify blocked inventory was reviewed by Accounting to determine if there is risk and if a specific reserve is needed for this inventory.

Review methodology for adjusting inventory reserves.

Review any write offs that occurred during the audit period. Ensure entries to adjust/write off the inventory reserves contained proper back-up documentation, was approved and reviewed by management

Review assessments resulting in specific percentages of coverage continue to be applied to the appropriate categories of inventory (refer to IBM99-001 Accounting for Plant Inventory Reserves).

Review the allowances for parts identified as being obsoleted by released engineering changes (ECs) which have not yet been scrapped and when plant management is aware of an exceptional problem. Validate all necessary approvals for these allowances were obtained.

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Manufacturing Value Add/Overhead Distribution

Objective:

Ensure the allocation methodology for Manufacturing Value Add (MVA)/Overhead Distribution is appropriate, adequate, consistently applied, in accordance with IBM standard and overhead accounts (pools) are closely monitored to ensure that this allocation is maintained.

Risk/Exposure:

A large share of product cost is the MVA/overhead costs that are normally charged to the product through burden application and the use of overhead pools. It is important to ensure this expense is allocated on an equitable basis to prevent inappropriate cost impacts to some products, inaccurate management information, and misstatements.

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Manufacturing Value Add/Overhead Distribution

Primary Test: Manufacturing Value Add/Overhead Distribution (MV001.P)

Objective:

Ensure the allocation methodology for Manufacturing Value Add (MVA)/Overhead Distribution is appropriate, adequate, consistently applied, in accordance with IBM standard and overhead accounts (pools) are closely monitored to ensure that this allocation is maintained.

Approach:

Review the methodology used to ensure that costs are charged directly to products when possible, and that allocation of other costs are consistent with the operating plans and actual redistribution systems.

Review the reconciliations provided with the initial data request for the monthly overhead expense to the ledger or cost system. Review for approvals and supporting analysis to minimize over/under expense at period end. If rates are used, review whether the rates are approved and documented.

If rates are calculated based on planned spending and volumes, verify if they are updated in a timely manner when actual incurred spending and volumes change to ensure that all costs are absorbed by year-end.

Review rates during the last quarter to ensure that changes to burden rates are justifiable and properly documented.

Review the process implemented to insert and update rates in the cost accounting system; select a sample of rates and test for validity of supporting documentation and accuracy of data entry.

If the site recovers any overhead costs to tenants or other organizations located on campus, test the process by which the site charges sister organizations for their share of the incurred costs.

Review the year-end over/under position and test the appropriateness of any remaining unapplied balance.

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Measurements

Objective:

Does the measurement system provide management with the visibility to accurate product (BMC) costs, inventory levels, and overhead actual expense versus budget/targets? Are measurement definitions adequately documented, and targets and acceptability criteria reviewed with the proper level of management?

Risk/Exposure:

Cost accounting should provide management with timely information regarding inventory levels, manufacturing output, and any aged balance sheet activity. Any out-of-line measurements should be resolved and / or action plans formulated to ensure the integrity of the inventory valuation. Failure to take action could have a negative impact on the profitability of the company.

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Measurements

Primary Test: Measurements (MS001.P)

Objective:

To ensure the measurement system provides management with the visibility to accurate product (BMC) costs, inventory levels, and overhead actual expenses versus the targets/budget.

Approach:

Review complete measurement packages presented to the functional and executive management.

Select some action items and track to resolution or improvement.

Verify if for all measurements the description, methodology, applicable system queries, and items to be excluded are documented. Test some measurements to validate accuracy and reliability.

Review year-end cost or ledger adjustments, and select a sample to test for validity, approval, and accuracy. Ensure that the adjustments were not to meet year-end targets. Review the beginning of the year charges from vendors to ensure that all previous year charges had been recorded/accrued.

Select a sample of credit corrects from a measurement package and verify that, if necessary, the root cause analysis was performed, and corrective action taken.

COST ACCOUNTING AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Separation of Duties (SOD) and Excessive Authority

Objective:

Are duties segregated adequately to deter and detect errors, waste, and fraud; and are both system and manual authorities limited to those needed to perform assigned responsibilities? Are exceptions controlled with effective secondary controls?

Risk/Exposure:

Failure to deter errors and/or to allow them to go undetected, potential waste and fraud for IBM.

COST ACCOUNTING

AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Separation of Duties (SOD) and Excessive Authority

Primary Test: Separation of Duties and Excessive Authority (SO001.P)

Objective:

Are duties segregated adequately to deter and detect errors, waste, and fraud; and are both system and manual authorities limited to those needed to perform assigned responsibilities? Are exceptions controlled with effective secondary controls?

Approach:

Validate the following in the Separation of Duties (SOD) assessment:

- The end-to-end process is reviewed annually by management.
- Assessments are kept current and are updated when organization, staffing assignments, process or system changes occur that significantly impact the SOD assessment.
- The approach to separating duties, whether by process design, system controls, organizational structure, or other means is established and maintained on an on-going basis.
- Identified conflicts are assessed for SOD risk and mitigating controls are implemented effectively to separate conflicting tasks.
- The effectiveness of SOD risk assessment and SOD risk management was appropriately covered in Key Control over Financial Reporting (KCFR) testing.

COST ACCOUNTING AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Variance Distribution

Objective:

Validate the methodology used for setting cost variances rates is appropriate, reviewed, approved, and follows applicable guidelines.

Risk/Exposure:

Cost variance is created when the actual cost incurred in a given period is different from the established standard unit cost. It is applied based on the outgoing shipments through the setting of cost variance rates. It is important to ensure cost variance is allocated on an equitable basis to prevent inappropriate cost.

COST ACCOUNTING AUDIT PROGRAM #10-50-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 7. Variance Distribution

Primary Test: Variance Distribution (VD001.P)

Objective:

Validate the methodology used for setting cost variances rates is appropriate, reviewed, approved, and follows applicable guidelines.

Approach:

Review methodology to monitor and record variances.

Look at the method utilized to determine variance rates to ensure it is appropriate and reasonable.

Validate management is reviewing and approving variance rates (take into account overhead costs), review approved variance rate to make sure they are being updated into the system.